to over £380,000, even though it suffered a loss on the transaction. In 1793, they forced the Company to grant them the use of 3,000 tons of its shipping every year to carry their goods. Exports of British cotton goods to the East, mostly to India, increased from £156 in 1794 to nearly £110,000 in 1813, that is, by nearly 700 times. But this increase was not enough to satisfy the wild hopes of the Lancashire manufacturers who began to actively search for ways and means of promoting the export of their products to India. As R.C. Dutt pointed out later in 1901 in his famous work, *The Economic History of India,* the effort of the Parliamentary Select Committee of 1812 was "to discover how they (Indian manufacturers) could be replaced by British manufacturers, and how British industries could be promoted at the expense of Indian industries".

The British manufacturers looked upon the East India Company, its monopoly of eastern trade, and its methods of exploitation of India through control of India's revenues and export trade, to be the chief obstacles in the fulfilment of their dreams. Between 1793 and 1813, they launched a powerful campaign against the Company and its commercial privileges and finally succeeded in 1813 in abolishing its monopoly of Indian trade.

With this event, a new phase in Britain's economic relations with India began. Agricultural India was to be made an economic colony of industrial England.

The Government of India now followed a policy of free trade or unrestricted entry of British goods. Indian handicrafts were exposed to the fierce and unequal competition of the machine-made products of Britain and faced extinction. India had to admit British goods free or at nominal tariff rates. The. Government of India also tried to increase the number of purchasers of British goods by following a policy of fresh conquests and direct occupation of protected states like Awadh. Many British officials, political leaders and businessmen advocated reduction in land revenue so that the Indian peasant might be in a better position to buy foreign manufacturers. They also advocated the westernisation of